STRATEGIC MATERIALS POLICY TRACKER

MP Materials' 10X Financing: Cash, Covenants, and Construction Risk

How a lapsed JPMorgan and Goldman Sachs commitment gave way to equity and a JPMorgan-agented revolver

Benjamin Yang · Research draft 1.0 candidate · 11 November 2026 · Evidence to 6 November 2026

Independent research; not commissioned or reviewed by JPMorgan or MP Materials. Pending human review; publication hold remains in place.

DRAFT · REVIEW GATES PENDING

Raise equity first and keep the revolver for letters of credit; a suspension of Defense payment obligations would block its draws

Recommendation for a hypothetical U.S. sponsor building before commissioning revenue; USD million, figures shown side by side

#	Item	USD million
1	**Net equity (reported)**	724.2
2	**Liquid assets, 30 Sep 26**	1,337.9
3	**Revolver available, Sep 26**	203.0
4	**Minimum cash floor**	500.0

USD million

WHAT EACH FIGURE MEANS

2. Cash plus short-term investments; spending that leaves under $500m at a quarter-end breaches the floor.

3. Drawable only while no Default exists; an actual suspension of a Defense payment obligation blocks new loans and LCs.

4. Tested at each quarter-end until the covenant trigger, not a locked reserve; a breach is an immediate Event of Default.

INTERPRETATION

Editorial judgment, draft 1.0 candidate, 11 November 2026; pending human review. The figures are different measures and are not additive. Cost of capital is not ranked because the loan terms of the lapsed commitment are not public.

Source: S07; S09; S11; S19. Underwriting agreement; 2025 10-K; Q3 2026 10-Q; credit agreement

JPMorgan held every financing role; Goldman Sachs shared the commitment and, with Morgan Stanley, the underwriting

Roles named in the reviewed filings and in J.P. Morgan's self-description

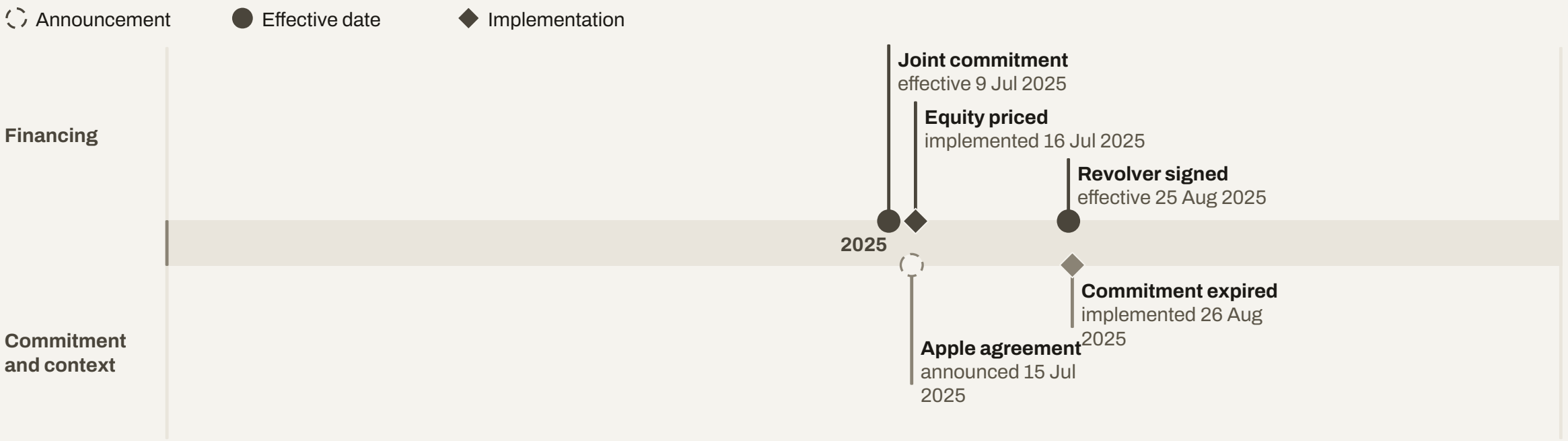
Bank	Adviser	Joint commitment	Underwriting	Revolver agent
JPMorgan	Self-described	Joint	**Joint largest**	Agent, lender
Goldman Sachs	Not named	Joint	**Joint largest**	Not named
Morgan Stanley	Not named	Not named	**Smaller share**	Not named

INTERPRETATION The case shows a bank group, not a single lender's decision. Goldman Sachs and Morgan Stanley were also joint lead arrangers of the revolver. The sole-adviser role rests on J.P. Morgan's self-description; fees, retention and internal credit decisions are not disclosed.

Source: S01; S07; S08; S09; S15. Company filings; credit agreement; J.P. Morgan's self-description for the adviser role

Equity and a revolver replaced the joint commitment within seven weeks

Financing events and the agreements around them, July to August 2025



INTERPRETATION Government agreements (9 July) and Apple's 15 July agreement preceded the 16 July pricing. The record does not isolate their effect on equity demand.

Source: S01; S06; S08; S11; S17. SEC filings, July to August 2025; 2025 10-K, Note 3

Net equity of $724.2m and a $275m revolver replaced a $1bn commitment that was never drawn

USD million; cash proceeds and committed capacity shown together, not summed

#	Item	USD million
1	**Gross equity (calculated)**	747.5
2	**Underwriting discount**	22.4
3	**Net equity (reported)**	724.2
4	**Revolver capacity**	275.0
5	**Original commitment min.**	1,000.0

USD million

WHAT EACH FIGURE MEANS

3 Reported equity issuance net of costs; no scheduled principal repayment.

4 Committed capacity, not proceeds; drawn loans are zero in every reported snapshot.

5 Reference minimum for a commitment that expired undrawn; $7.4m of fees were still expensed.

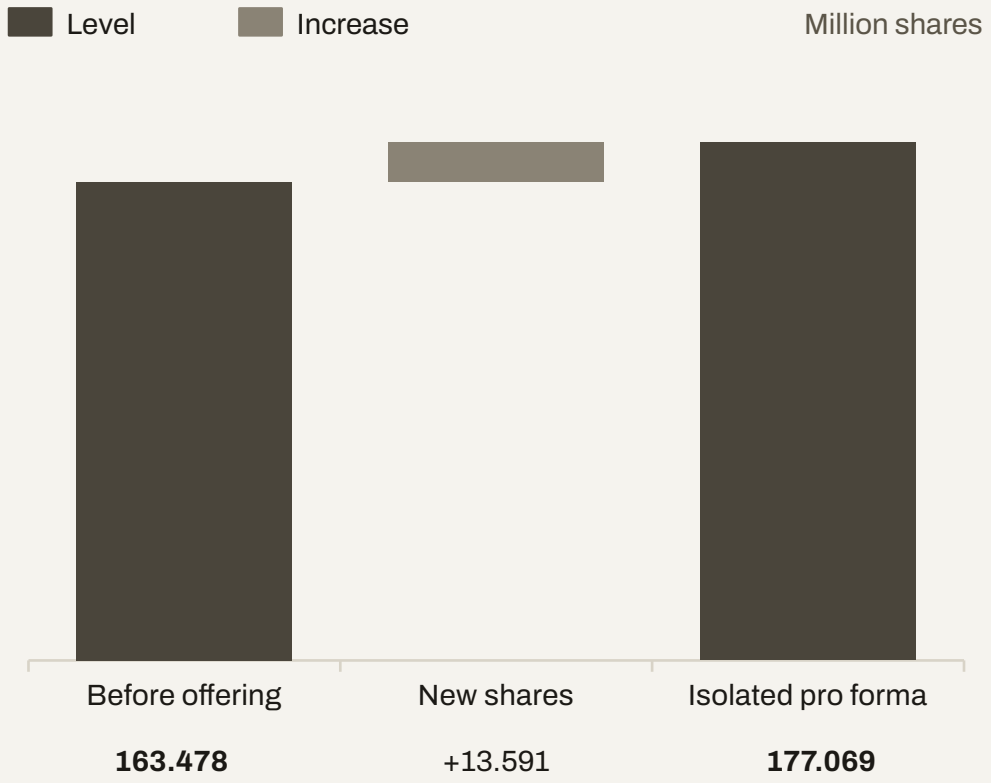
INTERPRETATION

The comparison mixes cash and capacity and is arithmetic only. About $0.9m separates the after-discount equity from reported net proceeds as other expenses and rounding.

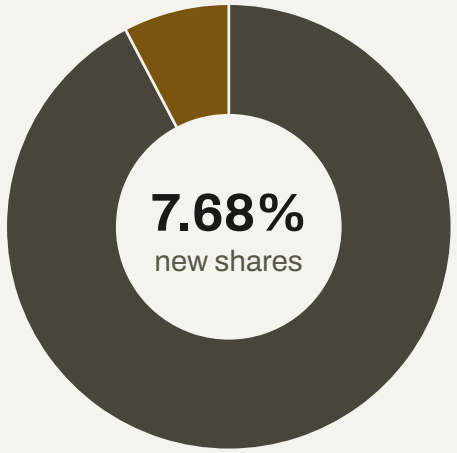
Source: S01; S07; S08; S11. Underwriting agreement; 2025 10-K

New shares added 8.31% to the basic count and are 7.68% of the isolated base

Bridge from basic shares before the July 2025 offering to the isolated pro forma, then the composition of that pro forma



Composition of the isolated pro forma



7.68% New shares

92.32% Pre-offering basic shares

Base: 177.069m shares, isolated pro forma

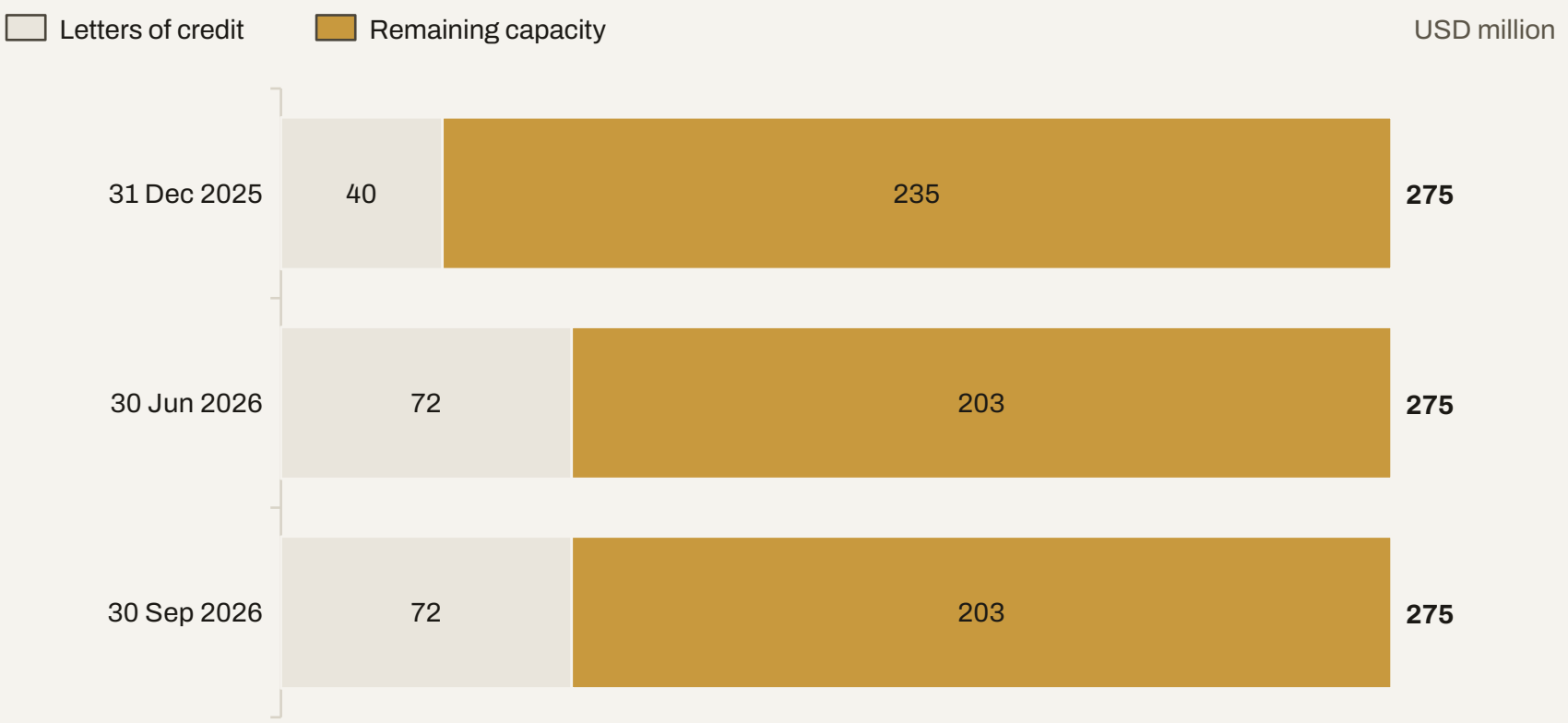
INTERPRETATION

The dilution is identical with or without a revolver, so it does not separate the two equity options. 8.31% uses the pre-offering basic count; 7.68% the isolated post-offering base. Not fully diluted.

Source: S06; S11. Prospectus supplement; 2025 10-K

Letters of credit leave $203m of the $275m revolver available to draw

USD million at three reported dates; no loan draws in any snapshot



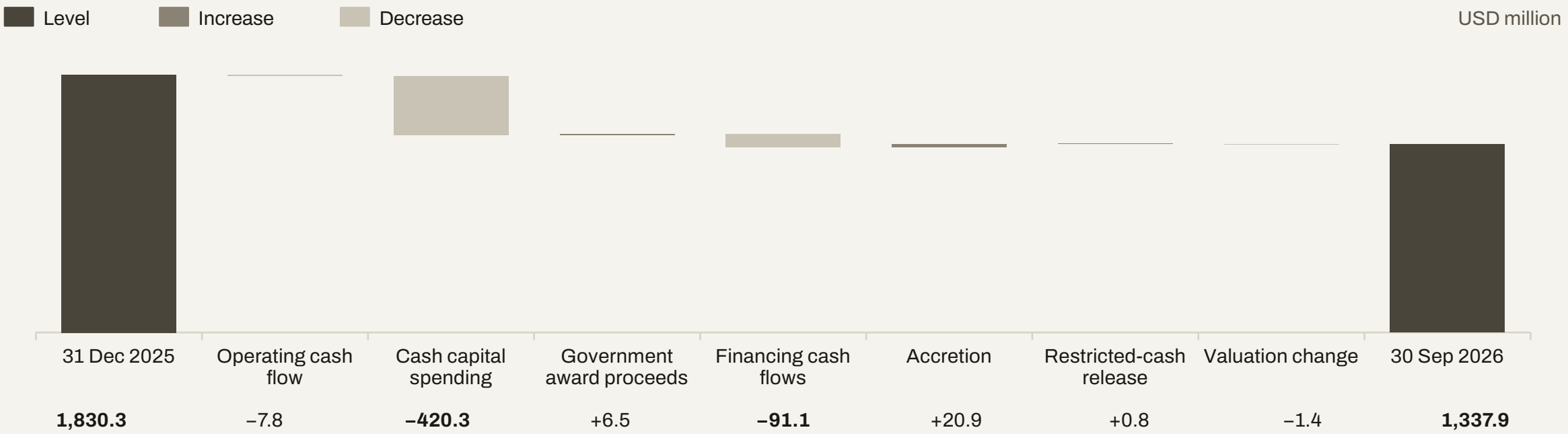
INTERPRETATION

The letters of credit are the revolver's one observed use. Availability is conditional on the credit agreement and is not cash; the sublimit is not additive to loans.

Source: S09; S11; S13; S19. Credit agreement; 2025 10-K; Q2 and Q3 2026 10-Qs

Company liquid assets fell $492.4m in nine months as expansion continued

USD million, 31 December 2025 to 30 September 2026



INTERPRETATION Capital spending covers all company projects, not 10X alone; MP guides to $500m to $600m of 2026 capital costs net of awards. Price protection cash of $110.9m is inside operating cash flow. Reported, not forecast.

Source: S19. Q3 2026 10-Q

An actual suspension of a Defense payment obligation blocks revolver draws at once; lenders may act after 60 or 90 days

Revolver states under credit agreement Section 8.01(m); no such event is reported



INTERPRETATION

Plain reading of the filed agreement, not legal advice. The clock starts when an obligation is actually suspended or released; a mere right to suspend is arguably not a Default. Restoring it in time avoids an Event of Default. A late DoD payment is not clearly a trigger. Remedies need lender action.

Source: S02; S09. Credit agreement §§1.01, 4.02, 5.05, 8.01(m), 8.02; transaction agreement §9.02(a)

In a suspension of Defense payments, liquidity rests on cash tests of $500m at each quarter-end and $343.75m on day 60

USD million at 30 September 2026; contractual thresholds beside reported balances

#	Item	USD million
1	**Liquid assets, 30 Sep 26**	1,337.91
2	**Minimum cash floor**	500.00
3	**Grace-extension test**	343.75
4	**Revolver commitments**	275.00
5	**Letters of credit, Sep 26**	72.00
6	**Revolver available, Sep 26**	203.00

USD million

WHAT EACH TEST DOES

1. Cash plus short-term investments; MP reports that the agreement's Cash Equivalents include these investments.
2. Quarter-end test until the covenant trigger, not held aside; a breach is an immediate Event of Default; no equity cure found.
3. 125% of the $275m commitments; certified on day 60, it adds 30 days of grace after a suspension or release.
5. Lenders may require cash collateral for these after an Event of Default.

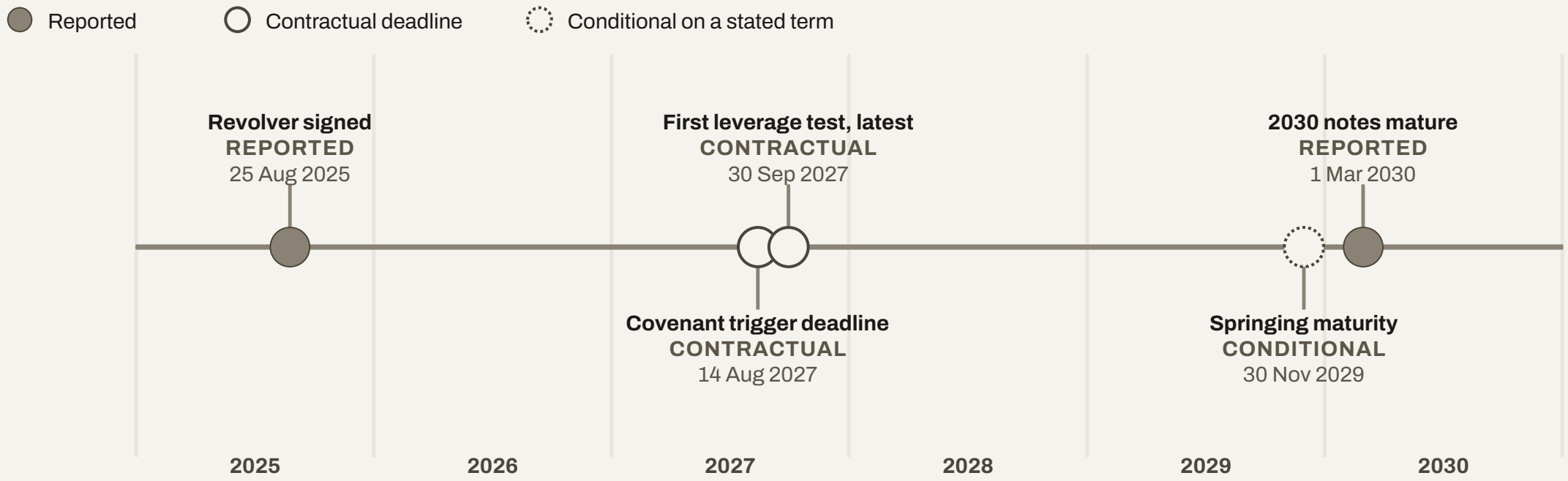
INTERPRETATION

Different measures, not additive; gaps between them are not headroom. Every draw also repeats a no-material-adverse-effect representation. Plain reading of the filed agreement, not legal advice.

Source: S09; S19. Credit agreement §§4.02, 5.05, 7.11, 8.01(b) and (m); Q3 2026 10-Q

Leverage tests start by Q3 2027, before expected 2028 10X commissioning, and the 2030 notes can pull maturity into 2029

Reported dates, contract deadlines and one conditional date; none is an MP plan

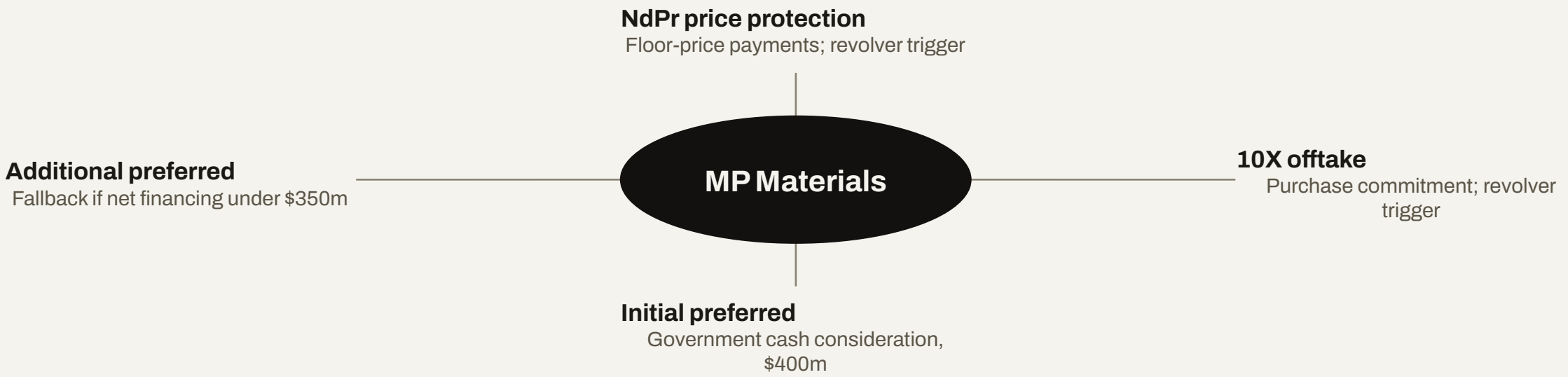


INTERPRETATION Trigger: earlier at $400m of covenant EBITDA, later only on a late filing. On $1,043.1m of debt, 4.00x leverage needs about $232m ($209m with 100% netting); 3.00x coverage, at most $108–109m. If enough 2030 notes remain, maturity springs unless cash plus availability tops $1,078.5m or leverage is 2.00x or less.

Source: S08; S09; S19. Credit agreement §§1.01, 6.01(b), 7.11; Q3 2026 10-Q, Note 8 and MD&A

The Defense agreements that support MP are also revolver default triggers

Government instruments linked to MP Materials; the transaction, offtake and price protection agreements are named in the credit agreement



INTERPRETATION Support narrows named price and volume risks; construction cost, timing and financing stay with MP. DoD may suspend offtake performance only after an uncured MP payment default; the filed price agreement has no suspension right. A material 10X breach left uncured past cure and notice periods lets DoD terminate, a revolver Event of Default.

Source: S02; S03; S04; S05; S09; S11. Transaction agreement §§6.13, 9.02(a); offtake §8.4; price protection §8(p)–(q); credit agreement §8.01(m); 2025 10-K, Note 3

On the same dates, each path leaves a different gap: loan terms, letters of credit or later capital

Financing paths compared from July 2025 to 30 September 2026; what each would have provided and what it leaves open

Option	What it is	On these dates	Left open
Committed debt	A bank commits to lend; loans are drawn and repaid later	The $1bn commitment expired undrawn after fees were paid	Loan pricing, tenor and conditions; balance not determined
Equity only	New common stock; permanent capital with no repayment	Same $724.2m of net proceeds, no facility	Cash collateral or another issuer for $72m of letters of credit
Equity + revolver	The same stock sale plus a revolving credit facility	Both executed; $72m of letters of credit, no loans	Draws depend on no Default and the Defense agreements
Delay to milestones	Raise in stages after construction milestones	Not observed in this case	Capital being available later on acceptable terms

INTERPRETATION Committed debt is judged without its loan pricing, tenor, conditions or recourse, which are not public. Equity only would need another source for the $72m of letters of credit; its terms are not determined.

Source: S01; S07; S08; S11; S19. FI003 analysis of the reviewed record; credit agreement; Q3 2026 10-Q

Equity plus a revolver adds later liquidity but exposes MP to lender remedies if Defense payments are suspended

No option is shown to fully fund 10X; marks are categorical and unweighted

Criterion	Committed debt	Equity only	Equity + revolver	Delay to milestones
Capital raised or committed before build	Partly	**Meets**	**Meets**	Does not
No dilution of holders	**Meets**	Does not	Does not	Partly
No debt service or covenants pre-revenue	Does not	**Meets**	Partly	**Meets**
Conditional liquidity for later	Partly	Does not	**Meets**	Partly
No lender remedies on a DoD suspension	*Not stated*	**Meets**	Does not	**Meets**
Low refinancing exposure	*Not stated*	**Meets**	Partly	**Meets**
Absorbs commissioning delay	*Not stated*	Partly	Partly	Does not

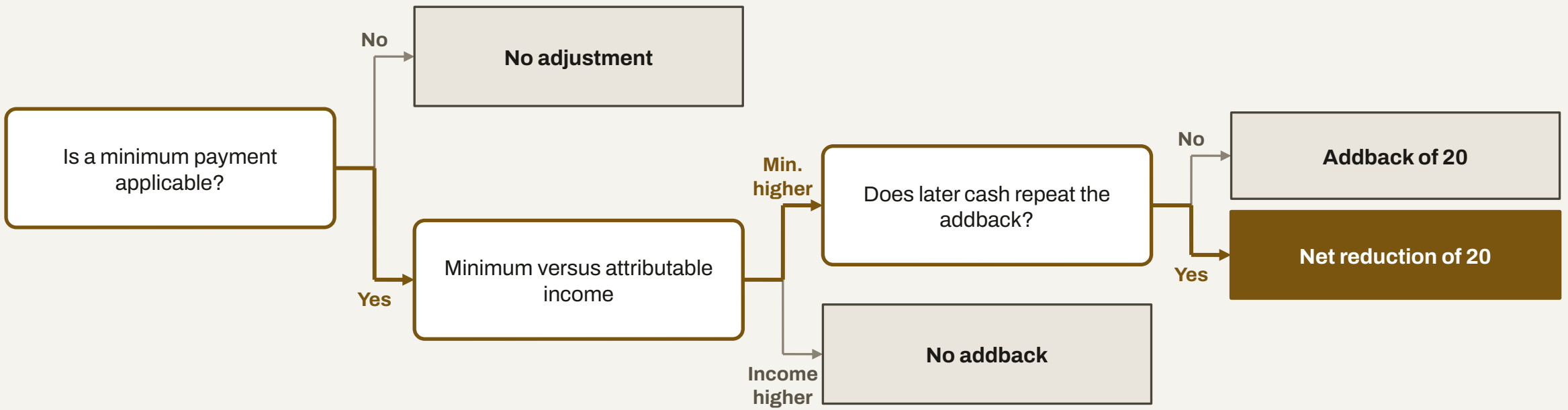
INTERPRETATION

Editorial judgment, draft 1.0 candidate, 11 November 2026; pending human review. Marks for committed debt rest on the commitment alone; its loan terms are not public, so cost of capital is left unranked.

Source: S06; S09; S11. FI003 analysis; credit agreement; prospectus supplement; 2025 10-K

A minimum-payment addback in covenant earnings can reverse when cash arrives

Illustrative clause arithmetic with hypothetical inputs, not reported MP results



INTERPRETATION Hypothetical figures of 40 and 20 show direction only. The text does not settle whether the addback applies while Defense payment obligations are suspended. Covenant EBITDA differs from Adjusted EBITDA.

Source: S09. Credit agreement, definition of Consolidated EBITDA

The revolver helps in a fundable overrun; a suspension of Defense payments blocks it

Both options raise the same $724.2m of equity at the same dilution; they differ in what happens under stress

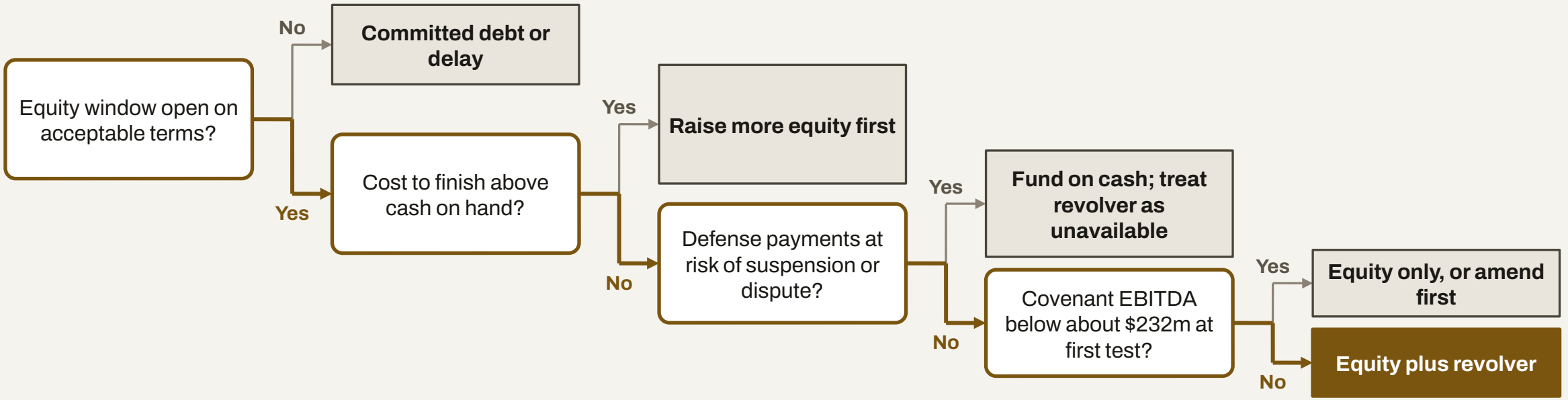
Situation	Equity+revolver	Equity only
Fundable company overrun	**May draw up to $203m if no Default exists**	More equity, spending changes or delay
Defense payments suspended	**Draws blocked; after day 60/90, lenders may call LC cash cover**	Cash only, with no lender remedies
Overrun breaches 10X duties	**Can become a Default; once terminable, an Event of Default**	Cash only; DoD termination risk is the same
Cost while unused	**About $0.71m a year in commitment fees, plus LC fees**	No fee; $72m of LCs need cash collateral or a new issuer
Repayment	**Loans due Aug 2030, or 30 Nov 2029 if maturity springs**	No repayment from this financing option

INTERPRETATION Editorial judgment, draft 1.0 candidate, 11 November 2026; pending human review. Before the covenant trigger a draw adds cash toward the $500m quarter-end floor; after it, a draw raises leverage. Equity only is better if covenant EBITDA would fall short of about $232m at the first leverage test.

Source: S02; S09; S11; S19. FI003 analysis; credit agreement; transaction agreement §9.02(a); 2025 10-K; Q3 2026 10-Q

Four conditions test whether equity plus a revolver still holds; each failure points to another path

Decision conditions for a hypothetical sponsor; the highlighted route ends at the recommendation



INTERPRETATION Editorial judgment, draft 1.0 candidate, 11 November 2026; pending human review. Go and slow decisions on 10X are set on projected quarter-end cash of at least $500m, then covenant EBITDA of at least about $232m ($209m on the 100% reading); revolver capacity is a secondary buffer. A sponsor without an anchor offtake or price floor may lack the equity window.

Source: S02; S09. FI003 analysis; credit agreement; transaction agreement

Six objections narrow the recommendation and name what would still change it

Each objection, what the draft concedes, how it answers and what remains open

Objection	Conceded	Answer	What remains
Equity is not always cheaper	Cost of capital is not ranked	**The case turns on fixed charges before revenue**	Loan terms for committed debt are not public
The $1bn commitment expired undrawn	It never funded the build	**It backed closing until equity and the revolver replaced it**	Its fees were still paid
JPMorgan acted with Goldman and others	The commitment and underwriting were shared	**Each role is stated as the filing names it**	The fee split between banks is not disclosed
Government support leaves risk	Risk remains with MP	**Only risks the record names are claimed**	MP still funds the build
Correlated availability is overstated	DoD suspension rights are narrow	**A 10X breach or dispute still reaches the revolver**	Counsel review of Section 8.01(m)
No optimal or fully funded plan	No structure is shown to be optimal	**The draft names triggers that would change it**	The record has no 10X cost-to-complete

INTERPRETATION Editorial judgment, draft 1.0 candidate, 11 November 2026; pending human review. No structure is optimal and no plan is shown as fully funded: the record has no cost-to-complete for 10X.

Source: S01; S02; S03; S07; S09; S19. FI003 analysis; credit, transaction and offtake agreements; filings